

Regulatory-Clearance Memo: Does Intake QA's Model Sit Outside California's Fee-Sharing, Advertising, and Anti-Capping Rules?

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The model under review

- **Flat monthly subscription** (~\$2,500–\$5,000/mo). The fee is **outcome-agnostic**: never a percentage of recovery, never per-case or per-signed-case, never tied to any matter's fees or the firm's revenue. It is identical whether the firm signs zero cases or a hundred.
- **Intake QA is an independent B2B vendor to law firms.** It scores the firm's own inbound intake calls and helps the firm re-engage the firm's own leaked leads.
- **Intake QA never contacts, steers, or refers claimants,** and never procures clients for a fee.

The analysis below depends on those facts. If a contract or piece of copy departs from them, re-run the analysis.

1. AB 931 (2025) — fee-sharing and referral compensation

AB 931 (Kalra), *State Bar Act: consumer legal funding*, approved October 10, 2025. It adds the Consumer Legal Funding Act (Bus. & Prof. Code §§ 6250–6256) and adds a new § 6156. Two threads bear on our model: the standing rule against paying anyone for referrals, and the new § 6156 fee-sharing ban.

(a) The "anything of value" / referral rule. California prohibits an attorney from giving anything of value to a person for the purpose of recommending or securing the attorney's services (Rule of Professional Conduct 7.2(b); see also B&P §§ 6151–6152, analyzed in §§ 4–5). AB 931 tightens the fee-sharing and referral landscape but does not disturb that rule.

Our model: The rule binds the attorney and targets payment made "for the purpose of recommending or securing" the firm's services. The firm pays Intake QA to score its own calls and re-engage its own leads — a QA/software/analysis charge, not a bounty for sending business to the lawyer. *Preliminary read:* **Outside.** The fee is not "for recommending or securing" services, and Intake QA never steers claimants.

(b) Out-of-state ABS fee-sharing — § 6156. No California attorney "shall share legal fees directly or indirectly with an out-of-state alternative business structure" (a nonlawyer-owned entity providing legal services) unless narrow conditions apply. Statutory damages are \$10,000 per

violation or three times actual damages, whichever is greater. Section 6156 applies to contracts entered on or after January 1, 2026, and is repealed January 1, 2030.

Safe harbor — § 6156(e). Section 6156 does not apply to a contract that (1) specifies a fixed dollar amount for services rendered, (2) carries no payment related to a referral or the purchase of a lead, and (3) carries no payment contingent on the amount recovered in a case. Our flat, recovery-independent, referral-free subscription fits all three conditions on its face.

Our model: Intake QA is not an alternative business structure, shares no legal fees, and charges a fixed monthly price. It sits inside the § 6156(e) safe harbor. *Preliminary read:* **Outside** — and expressly exempted under § 6156(e).

Questions for you (AB 931)

1. Does a flat, outcome-agnostic, firm-paid QA subscription fall cleanly outside the rule against giving anything of value "for ... recommending or securing the services" (Rule 7.2(b)), or is there a reading in which an intake-improvement vendor is "securing" services?
2. Do you agree the § 6156(e) exemption (fixed dollar amount; no referral/lead payment; no recovery-contingent payment) squarely covers our subscription?
3. Recovered-lead re-engagement lets the firm re-contact its own prior leads, with a firm employee approving every message and Intake QA never contacting claimants. Does that stay outside "securing ... services," or does helping convert leads read as being paid to secure clients?

2. SB 37 (2025) — attorney advertising and anti-solicitation

SB 37 (Umberg), *Attorneys: unlawful solicitations and advertisements*, approved October 11, 2025. This is advertising and anti-solicitation legislation, not fee-sharing legislation. It amends the runner/capper article and modernizes the advertising rules; it does **not** amend Rule 5.4 or reach flat vendor fees.

Private right of action and penalties. SB 37 authorizes "any person" to bring a civil action for violations (e.g., of § 6152 via amended § 6153, and of § 6155 via new § 6156.5), recovering statutory damages of "a minimum of five thousand dollars (\$5,000) up to a maximum of one hundred thousand dollars (\$100,000) per violation, or three times the amount of actual damages, whichever is larger," plus fees and injunctive relief.

Broadened "advertisement" — § 6157(b). "Any communication ... that provides information concerning a lawyer or the lawyer's services for the purpose of encouraging individuals to secure the services of the lawyer." The trigger is communication aimed at claimants/consumers.

Our model: Intake QA never solicits or procures claimants (runner/capper vector); it grades a firm's own process. Its marketing is B2B — software and analysis sold to law firms, not legal services offered to claimants — so it falls outside the § 6157(b) definition, which is claimant-facing. The new

private right of action adds no independent prohibition; it raises the stakes if the underlying analysis is wrong.

Preliminary read: **Outside** on both the runner/capper and advertising provisions. The private right of action is a risk multiplier, not a hook.

Questions for you (SB 37)

1. Does an independent QA/scoring vendor that never contacts claimants and never procures clients sit outside the amended runner/capper regime?
 2. Does recovered-lead re-engagement (firm re-contacts its own leads; firm employee approves each message; vendor never messages claimants) risk being cast as "solicitation or procurement of business"?
 3. Is our B2B marketing to firms outside § 6157(b)'s "advertisement" definition, and is any of our copy at risk of reading as claimant-facing?
 4. Given the \$5,000–\$100,000 penalty range and the new private right of action, what contract and copy language best insulates a novel independent-scorer vendor?
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3. Rule 5.4 — fee-sharing with nonlawyers

The rule. A lawyer or firm "shall not share legal fees directly or indirectly with a nonlawyer," with exceptions. A nonlawyer's compensation "may not be based on a percentage or share of fees in specific cases," and permitted profit-sharing plans may not be "tied to the fees of specific cases."

Our model: Intake QA's fee is a flat monthly subscription, tied to no case's fees, outcome, or the firm's revenue. It is not a share of legal fees at all — it is a price for a service — so it sits well outside the rule's bright line. *Preliminary read:* **Outside.** This is the cleanest ground: a flat, outcome-agnostic fee is not "sharing legal fees" and is categorically not "tied to the fees of specific cases."

Questions for you (Rule 5.4)

1. Confirm a flat, outcome-agnostic B2B subscription is not "sharing legal fees ... directly or indirectly" and is not "tied to the fees of specific cases."
 2. Our tiers are banded by call volume, not by cases or recovery. Confirm that volume-tiered pricing is not read as indirectly tied to outcomes.
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4. Rules 7.1–7.3 — advertising and solicitation

The rules. Rule 7.1 bars false or misleading communications about a lawyer's services. Rule 7.2(b) bars a lawyer from giving "anything of value to a person for the purpose of recommending or securing the services of the lawyer," subject to enumerated exceptions (permitted advertising costs,

legal-service-plan and qualified-referral-service charges, and a Rule 1.17 practice purchase). Rule 7.3 defines "solicitation" as a targeted communication directed to a specific person that offers legal services — i.e., aimed at prospective clients.

Our model: The firm pays Intake QA for QA/scoring, not to recommend or secure the firm's services (Rule 7.2). Intake QA solicits law firms, never claimants (Rule 7.3). Rule 7.1 binds the firm's own communications; for us it is copy discipline — no unsubstantiated superlatives, no guaranteed-results implications, and Yang named only as a methodology/compliance reviewer, never as endorsing outcomes. *Preliminary read:* **Outside** on 7.2 (vendor fee, not a referral bounty) and 7.3 (we solicit firms, not claimants). Rule 7.1 is a discipline to hold, not a prohibition we trip.

Questions for you (Rules 7.1–7.3)

1. Confirm a flat QA/scoring vendor fee is outside Rule 7.2(b)'s "anything of value" prohibition.
 2. Confirm our B2B outreach is outside Rule 7.3 solicitation, and flag any copy that risks reading as claimant-facing.
 3. Is framing you as a "named methodology / compliance reviewer" acceptable under Rule 7.1 and the endorsement rules?
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5. B&P §§ 6151–6152 — capping and running

The statute. Section 6151 defines a "runner or capper" as a person or entity "acting for consideration in any manner or in any capacity as an agent for an attorney at law or law firm ... in the solicitation or procurement of business." Section 6152 makes it unlawful to act as a runner or capper, or to solicit business for attorneys in enumerated settings (jails, hospitals, courts, public places).

Our model: The statutory hinge is procuring clients for a lawyer for pay. Intake QA never contacts claimants, never procures clients, and is paid a flat fee to evaluate the firm's own intake and help the firm re-engage its own leads. It is the opposite vector from a capper: it improves how the firm handles leads it already has. *Preliminary read:* **Outside.** Intake QA is not an "agent ... in the solicitation or procurement of business."

Questions for you (§§ 6151–6152)

1. Does a vendor that never contacts claimants and only helps a firm score and re-engage its own leads sit outside "solicitation or procurement of business," including under SB 37's toughened regime?
 2. What contract terms and product guardrails best keep the recovered-lead feature unambiguously firm-owns-the-lead / firm-employee-approves-every-send / vendor-never-touches-the-claimant, so it cannot be recharacterized as capping?
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6. Consolidated read

Regime	Prohibition	Our model	Preliminary read
Rule 7.2(b) — "anything of value"	No paying anyone "for ... recommending or securing" services	Flat QA fee; no steering of claimants	Outside
AB 931 § 6156	No sharing legal fees with an out-of-state ABS	Not an ABS; no fee share; fits § 6156(e) fixed-fee exemption	Outside (exempt)
SB 37 — runner/capper	No procuring clients for attorneys	Never contacts or procures claimants	Outside
SB 37 § 6157(b)	Claimant-facing advertising	B2B marketing to firms	Outside
SB 37 — private right of action	\$5,000–\$100,000/violation or 3× damages	No underlying violation to enforce	Risk multiplier, not a hook
Rule 5.4	No sharing legal fees; none tied to specific-case fees	Flat, outcome-agnostic fee	Outside (cleanest ground)
Rules 7.2 / 7.3	Referral compensation / soliciting clients	Vendor fee; solicits firms, not claimants	Outside
B&P §§ 6151–6152	Capping / procuring clients	Opposite vector; no claimant contact	Outside

The two points that most warrant your scrutiny: (i) whether recovered-lead re-engagement could ever read as "securing services" (Rule 7.2(b)) or "procurement of business" (§§ 6151–6152); and (ii) whether the § 6156(e) fixed-fee exemption cleanly covers our subscription.